acres to some other kind of crop, in order that we may not have the surplus problem in cotton as I have described it. If we increase our corn acreage, we are going to have an aggravated surplus problem on our hands, and we already have a problem of surplus corn. So what we need to do is to expand our dairy industry, and induce more families to engage in dairy farming and soil building, rather than to throw them further into the category of adding to the cotton surplus, as well as the corn surplus. In the event we destroy the butter market, we can rest assured that some of those now engaged in diversified types of agriculture in Alabama, Mississippi, and all the other Southern States, including Arkansas, will turn back to some kind of a row crop, whether it is peanuts, or cotton, or soybeans.

I merely call to the attention of my colleagues that we need to think seriously this afternoon and in the remaining hours or days before we cast our votes on the pending question and decide whether we are going to disrupt our whole agricultural economy, or whether we are going to reject the demand on the part of the oleo processor to be allowed to sell his product competitively with butter, in all its synthetic duplication of butter.

The total investment in cotton of the two crops as of the end of 1949 was $947,043,350.

If, by destroying the butter market, we stop the trend toward diversified farming and the introduction of the dairy cow into the Southern States we are going to have a greater clamor for cotton acreage quotas and a greater demand to grow cotton than there is at the present time, as I stated earlier in my remarks.

As an example of the reactions of dairy producers to the controversy in which we are engaged, I wish to read a letter from a Minnesota farmer, Mr. N. O. Evenson, of Litchfield, Minn.:

LITCHFIELD, MINN., January 3, 1950.
The Honorable EDWARD J. THYE,
Washington, D. C.

DEAR SENATOR THYE: I know that you are doing valiant work in behalf of the American farmer in your stand opposing the oleomargarine interests in pending legislation on this question. I am writing you, thinking you may be interested in receiving some opinions of farmers on this question.

I will make my comments brief; for this reason I will not mention some of the strongest arguments we have regarding the oleomargarine issue, such as the dairyman's rights to the yellow oils:

This is a farmer writing to me:

I will confine my letter to some of my thoughts as to how this legislation can affect the consumers, who at present seem to be 100 percent on the oleo side of the question.

First, the coloring of oleo yellow will tend to raise the price of oleo and lower the price of butter. This will reduce the anticipated saving to the consumer.

Second, the dairy farmer is not compelled to keep on producing dairy products.

Give thought to that. He says the butter farmer is not compelled to keep on producing butter products. If he did not continue, I am afraid there would be times in the year when the consumer would be drastically short of fluid milk, because there are peak and low seasons of production.

To go back to the farmer's letter, he says further:

From our Minnesota Department of Agriculture we learn that there are 7,000 farms in Minnesota that had dairy cows on them in 1940 that do not have any dairy cows in 1949. This trend away from dairying is sure to increase if this bill is passed in its present form.

Third, the consumer should be interested in keeping the young men on the farm, where they are needed to produce food. Every obstacle placed on agriculture tends to increase the drift of farm boys to the cities, where they can have such privileges as the 40-hour week, time and one-half for overtime, etc. We see indications every day that can stop us and make us wonder as to what direction we are going. For an example, a good 120-acre farm with a full line of good buildings was sold recently in this neighborhood for $12,000. This would only buy a modest modern home in Litchfield or any other town in the land.

I am still farming the farm where I was born, and have a lot of first-hand experience with the problem of farming. In my opinion, the passage of the oleo bill will not only be a disastrous blow to agriculture but it will react indirectly and unfavorably to the best interest of the consumer.

Yours sincerely,
N. O. EVENSON.

Mr. Evenson was thinking soundly on this question.

Mr. President, dairy farmers do not object to fair and honest competition, but they vigorously resent unfair competition from an imitation product. Yellow oleomargarine lends itself readily to fraudulent substitution. Therefore, a law to bar interstate shipment of yellow oleo is eminently fair, since it leaves to the individual States the right to regulate its manufacture and sale within their own borders.

Oleomargarine should be sold as a separate and distinct product with an identity of its own. Had the oleomargarine industry the courage to market its product on its own merits, and not as an imitation of another product, little regulation would be necessary.

Leading dairy and farm organizations favor the repeal of all Federal taxes and license fees on oleomargarine. They urge, however, a ban on the interstate shipment of oleomargarine colored yellow in imitation of butter.

The Gillette-Wiley substitute, which is sponsored by 25 Senators, is designed to accomplish both of these purposes. I firmly believe that adoption of the substitute amendment would be in the public interest.

I most sincerely hope that the substitute amendment will receive the support of at least a majority of the Members of the Senate.

STATEMENT BY SENATOR TAFT ON FORMOSA

Mr. TAFT. Mr. President, shortly before the first of the year, I expressed the opinion in an interview in Ohio that we should hang on to Formosa and prevent Communist occupation of Formosa, even though it involved the use of our Navy. I did not suggest the occupation of Formosa, nor the sending of any army, or even the sending of any navy. Our Navy is there already, with bases within a short distance, and its ships are between Formosa and China, as anyone knows who read this morning's newspapers. Formosa is a hundred miles from the mainland and there can be no crossing if our Navy makes it clear that ships carrying troops will not be allowed to cross. In fact, probably there would be no such attempt at all if the State Department made it perfectly clear that we do not intend to permit Communist occupation of Formosa.

The basis of our foreign policy in the last 3 or 4 years, if there has been any consistent foreign policy, is to contain communism where it is and prevent any single step of advance, because success in any such step is certain, considering the character of communism, to lead to another step. We, therefore, sent our military aid and our officers into Greece, although it might easily have involved us in war. We have given military aid to Turkey and to Iran. We have stood firm against Communist advance in Korea and provided the Koreans with large amounts of military aid and American advice. In undertaking the air lift in Germany, we certainly risked war with Russia in order to maintain unimpaired our position in Berlin. We are asked to appropriate billions of dollars to arm western Europe, although there is no evidence that at the present time the Russians contemplate any military attack in that area. We have given notice to Russia, by the adoption of the Atlantic Pact, that if its troops advance across the boundaries of Italy or the American or British zones of Austria or Germany or Denmark or Norway, it will find itself at war with us. In our policy of laying down the law, "this far you shall go and no further" we have not hesitated to risk war. There is not the slightest evidence that Russia will go to war with us because we interfere with a crossing to Formosa. It is hardly possible to see how the Chinese Communists by themselves can begin a war against the United States, or why they should do so.

In China for some reason, the State Department has pursued a different policy from that followed throughout the rest of the world. There is not the slightest doubt in my mind that the proper kind of sincere aid to the Nationalist Government a few years ago could have stopped communism in China. But the State Department has been guided by a left-wing group who obviously have wanted to get rid of Chiang, and were willing at least to turn China over to the Communists for that purpose. They have, in effect, defied the general policy in China laid down by Congress. In recent months it has, of course, been very doubtful whether aid to the Nationalist Government could be effective, and no one desires to waste American efforts. But Formosa is a place where a small amount of aid and at very small cost, can prevent the further spread of communism. Such action does not commit us to backing the Nationalist Government in any prolonged war against the Chinese Communists. We can determine later whether we ever wish to recognize the Chinese Communists and

what the ultimate disposition of Formosa shall be.

As I understand, the people of Formosa if permitted to vote would probably vote to set up an independent republic of Formosa. The status of Formosa, therefore, should certainly be kept free for determination until the peace treaty has been written with Japan. Formosa must be legally a part of Japan, for it is difficult to see how the mere declaration of the President at Cairo or Potsdam can change that status without a treaty. One thing is certain, if the Communists take over Formosa, we will have just as much chance of setting up an independent republic of Formosa as we have of returning the western German provinces from Poland to Germany. We know that the Communists will give up nothing which they have occupied. Certainly, we do not desire or intend to undertake an aggressive war to recover land the Communists have occupied. On the other hand if, at the peace conference, it is decided that Formosa should be set up as an independent republic, we certainly have the means to force the Nationalist's surrender of Formosa.

The President's statement on January 5 follows the usual course of setting up a straw man and then proceeding to knock him over. He said:

The United States has no predatory designs on Formosa or on any other Chinese territory.

No one has suggested that it has.

The United States has no desire to obtain special rights or privileges or to establish military bases on Formosa at this time.

No one has suggested that it has such a desire.

The United States Government will not pursue a course which will lead to involvement in the civil conflict in China.

The course suggested will not lead to any such involvement, although, of course, we have involved ourselves in the civil conflict in Greece, in Korea, and elsewhere. When the President, however, says, "Similarly, the United States Government will not provide military aid or advice to Chinese forces on Formosa," he is departing from the policy pursued by us in every other part of the world where the question is whether communism shall be checked. While he states that we will continue the present ECA program of economic assistance, it is quite clear from the past course of the State Department that they have not the slightest intention of giving such assistance in any effective way in such a manner as to assist the occupants of Formosa and defeating a Communist attack.

Those who argue against any action in Formosa are curiously inconsistent. The distinguished Senator from Texas shudders at the possibility of war, although the chance we are taking is 1 in 10 compared to that we are taking in Europe today.

One columnist fears that any action in Formosa different from exactly the action of the State Department would antagonize the leaders of India and Indonesia. His theory seems to be that the way to stop communism in India is to permit it to move into Formosa. That is an exact reproduction of the argument used in support of the policy of Munich. Strange to say, the same columnist is all for extending aid to Burma and Indochina against Communist attack, although it is infinitely less practical and more expensive and difficult than the maintenance of an independent Formosa.

Another columnist argues that if we do not immediately extinguish the Nationalist Government, Red China will not be able to demobilize to carry out economic reconstruction. Therefore, he argues, we should recognize the Communist government. Whatever may be the arguments for such recognition, it is quite certain that it will in no way tend to reduce the armies of the Chinese Communists. Russia has continued to maintain a huge army, although it is faced with no threat of invasion whatever. I think it is safe to predict that it will be many years before the Chinese Communists reduce their armies by one soldier, because only by those armies can they possibly hope to control China.

The question of the containment of communism is largely a practical one. The only reason so much heat has been engendered about the Formosan situation is the bitter resentment of the State Department and its pro-Communist allies against any interference with its policy of liquidating the Nationalist Government.

No two men are more familiar with the Far East than General MacArthur and former President Hoover, and both of them are able to see the obvious military and political facts of the situation. Here is a small area of the world where, with no difficulty or expense, we could prevent the spread of communism to an island which might be of great strategic value and whose people desire to be independent.

Mr. KNOWLAND. Mr. President, will the Senator yield?

Mr. TAFT. I yield.

Mr. KNOWLAND. I should like to know if the able Senator from Ohio is familiar with the press dispatch which came over the teletype a short time ago, and which I now wish to read into the RECORD as follows:

WASHINGTON.—Two Democratic Senate leaders today rejected a Republican demand that the Joint Chiefs of Staff be called to give Senators a report on the strategic value of Formosa to America's far-eastern defenses.

Chairman CONNALLY of the Senate Foreign Relations Committee and Chairman TYDINGS of the Senate Armed Services Committee both turned thumbs down on the proposal made by Senator KNOWLAND.

KNOWLAND said he plans to place his request in writing before the armed services group. But TYDINGS said this was a matter for the Foreign Relations Committee to handle.

And CONNALLY told a reporter: "The President already has made his decision on Formosa. I have no intention at present of asking the Joint Chiefs for their views."

CONNALLY said the Joint Chiefs are due to visit the Far East next month. After their return, his committee may ask them to make a report—but not before.

KNOWLAND wants to know if the State Department and the President had the views of the Joint Chiefs of Staff and other military experts before arriving at the hands-off decision on Formosa.

The President announced last week the United States will not give military aid or advice to the defenders of the big island which is the Chinese National Government's last stronghold.

CONNALLY told a news conference yesterday the committee might call on the Joint Chiefs and Secretary Johnson for a report on the far eastern strategic situation.

But he made it clear this morning he plans no action at present in this direction.

"It would serve no good purpose to call them at this time," CONNALLY said. "I am satisfied the President made his decision with the full knowledge of all the facts involved."

I should like to ask the Senator whether he knows of any way the Congress of the United States can come to sound decisions in connection with the performance of its constitutional obligations in meeting the defense needs of the Nation and in helping to formulate foreign policy, if the Congress is to be denied information to which it is entitled and upon which it could base those judgments.

Mr. TAFT. No; I think Congress is entitled to such information, and must have it in order to reach sound judgments. Of course, the strategic importance of Formosa is something upon which I have not undertaken to pass in my statement. I do not know. But obviously its strategic importance is a vital factor in the determination of the Formosan policy; and obviously the Joint Chiefs of Staff should be listened to; and obviously we should have the best possible advice on the question of whether Formosa is a strategic place, from the point of view of war.

Mr. KNOWLAND. I merely wish to say, as one Senator who is not a member of the Foreign Relations Committee, that I hope the committee will press for an answer to these questions.

As a member of the Armed Services Committee, despite the quotation of the chairman of the committee to which I have referred—and I hope he is not correctly quoted in the article appearing today—I intend to bring that matter before the Armed Services Committee. I think it is one which vitally affects the defenses of the United States. But if we cannot succeed, through either of those committees, we shall make every effort to do so through the Appropriations Committee, when the National Defense Establishment comes before us for funds to support Okinawa and other bases in that area of the world, and when there is good reason to believe that the loss of Formosa into unfriendly hands may jeopardize our strategic position in our other island defenses. In one of those committees we certainly intend to get the answers to these questions.

We certainly did not get the answers to the questions in the Foreign Relations Committee yesterday.

Mr. TAFT. Mr. President, it seems to me that we certainly should have the best advice in regard to what the military facts are. I see no reason why we should not demand that they be given to us, entirely apart from what the foreign policy of the State Department may be.

Mr. VANDENBERG. Mr. President, will the Senator yield?

The PRESIDING OFFICER (Mr. STENNIS in the chair). Does the Senator from Ohio yield to the Senator from Michigan?

Mr. TAFT. I yield.

Mr. VANDENBERG. As I have said before, Mr. President, I do not wish to enter this debate until all the facts are available. My interest has been in the development of the facts.

I know nothing about the authenticity of the statement read by the Senator from California [Mr. KNOWLAND]; but, in view of its purport, I must say, with the greatest respect to my distinguished colleague, the chairman of the committee, that so far as I am concerned, I cannot feel that I have obtained adequate information in respect to the facts, without the testimony of the Defense Establishment in general, and of the Secretary and of the Chief of Staff in particular. So far as I am concerned, I would consider that testimony to be not only pertinent, but indispensable.

Mr. SALTONSTALL. Mr. President, will the Senator yield, to permit me to ask a question?

Mr. TAFT. I yield to the Senator from Massachusetts.

Mr. SALTONSTALL. The Senator has expressed himself in regard to the defense of Formosa, and so forth. Perhaps the question I shall ask is a little beside the point; but inasmuch as the Senator is still on his feet and has spoken on this subject, I should like to ask him a question on a subject which was discussed the other day by the Senator from New Jersey [Mr. SMITH]. Has the Senator from Ohio given any consideration, as a Senator and as a lawyer and as a citizen, to the title, let us say, to Formosa at the present time? Does the Senator consider Formosa to be a possession of the Nationalist Government, a part of China, or an island whose final disposition awaits further treaties and further discussions of Formosa?

Mr. TAFT. It seems obvious to me that legally Formosa was a part of Japan for 50 years, and was so recognized by the world. I do not know how that status could be changed, except by treaty. I do not think it could be changed by Presidential declaration at Cairo or Presidential declaration at Potsdam. Whatever its status, I think it is something different from the status of the mainland of China. I think that is entirely clear.

So I think we are entirely free, when we participate in the treaty with Japan, and I think the other nations participating in the treaty are entirely free, to set up an independent Formosa. I do not think our hands are necessarily tied by any other action taken by the United States.

Mr. SALTONSTALL. Then, is it the Senator's opinion, from his knowledge of the law and of the general situation, that Formosa cannot be turned over to the Chinese Nationalists by any surrender agreement or papers signed there?

Mr. TAFT. No; I think they are merely in possession there today, by general consent. But I cannot see how China, whatever China is, has yet acquired any legal title to Formosa.

Mr. FERGUSON. Mr. President, will the Senator yield for a question?

Mr. TAFT. I yield.

Mr. FERGUSON. The first answer which has been given would, it seems to me, indicate the correct view, for otherwise would it not be possible, and even probable in this case, that we would find ourselves, so far as Germany and Japan were concerned, in the position that secret agreements had been made at some of the conferences, and therefore the entire peace had already been determined, and there would not be anything for the peace treaty to take up?

Mr. TAFT. I do not think we can admit—whatever the moral obligations may be—that we are in any way legally bound by declarations of the President, either in secret or made openly, as to the disposition of different parts of the world.

Mr. FERGUSON. Is it not one of the purposes of the provision of the Constitution which calls for ratification by the Senate of peace treaties and all other treaties, that there must be formal action by both the President and the Senate in passing upon questions which might involve us in war?

Mr. TAFT. Yes; I agree with the Senator.

Mr. SMITH of New Jersey. Mr. President, will the Senator yield?

Mr. TAFT. I yield to the Senator from New Jersey.

Mr. SMITH of New Jersey. I came into the Chamber just at the end of the Senator's remarks. Of course, I was very much interested in them, in light of the position I took here a few days ago.

I shall say to the Senator, if he will permit me to do so, that the proposition I discussed 2 days ago was based upon the assumption—and apparently the Senator from Ohio makes the same assumption—that until the peace treaty is signed, there is a question about the status of this particular part of the world.

Mr. TAFT. That is as far as we have to go.

Mr. SMITH of New Jersey. Yes; that is as far as we have to go.

Mr. TAFT. Because if there is a question, we at least should keep the field open, so that we can decide that question as it should be decided. But once the Communists are there, we shall no longer be a free agent in respect to deciding that question, unless we are willing to undertake an aggressive war.

Mr. SMITH of New Jersey. Then the Senator from Ohio will agree with me, will he not, that there is a responsibility on the part of the United States, if there is a question as to whether Formosa is or is not a part of Japan, to see that the status quo is preserved, for the protection of everyone concerned—the people of the island, the Chinese Nationalist Government, the Communists—if they have any rights there—and ourselves and our own interest?

Mr. TAFT. I agree with the Senator.

Mr. SMITH of New Jersey. I thank the Senator from Ohio.

Mr. BREWSTER. Mr. President, will the Senator yield?

Mr. TAFT. I yield.

Mr. BREWSTER. The Senator has suggested a very interesting question which, I take it, referred to the powers of the President of the United States in time of war to make agreements of a military character. I take it that question is to some extent implicit in this problem.

I do not know to what extent hitherto that has been a matter of concern; but is it not obvious that if the principle of the power of the President to make, in time of war, agreements of primarily a military character, in return, let us say, for the entrance into the war, at a certain time, of a particular country, in return for which the President has promised certain territories, can be established, then, despite the provision of the Constitution, as it is stated very plainly in section 2 of article 2, namely—

He—

That is to say, the President—

shall have power, by and with the advice and consent of the Senate—

And I labor the word "advice" somewhat—

to make treaties, provided two-thirds of the Senators present concur—

The President's power will be unlimited, will it not?

If there is no limit on the Presidential power to make agreements in time of war, then the entire function of the Senate in that respect might easily be eliminated. Is that correct?

Mr. TAFT. Yes; I think so. The President has rather encroached already on the powers of the Senate; and now a good many things which used to be done by treaty are done by agreement.

But certainly the disposition of the territory of another nation is something which still must be done by treaty, and cannot be done by executive agreement. If we admit any such power to proceed by way of executive agreement, we certainly very much curtail the powers given to the Senate by the Constitution.

Mr. BREWSTER. And is it not highly important that the Senate, if it has any regard for the importance of its constitutional functions, should see to it that there is some determination of this right, before we completely surrender it, particularly since we now have involvements in so many sections of the world? Moreover, are we not now still at war?

Mr. TAFT. I do not know that we are at war. We have not yet disposed of the questions arising from the war. I suppose that technically we are still in a state of war, for the purpose of many statutes and for various other purposes. For some purposes, I would think we are not at war.

Mr. BREWSTER. If in a time of actual hostilities the Presidential power were established to make agreements which would bind us, might not it be possible that then we could easily move into a twilight zone—whether we call it war, or regardless of what we call it—in which the President could continue to assert the right to make agreements which would bind the country under certain eventualities, if we continued to permit this encroachment upon the power of the

Senate and this expansion of Presidential power?

Mr. TAFT. Yes; I think that is true.

Mr. SALTONSTALL. Mr. President, will the Senator yield at this point?

Mr. TAFT. I yield to the Senator from Massachusetts.

Mr. SALTONSTALL. So as to carry out what the Senator has just said to the Senator from Maine, and to bring the matter to a logical conclusion, let me ask this question: In a case in which our country has been at war with another country, and the other country has surrendered, its title to its possessions cannot be turned over to another country without the consent of the Senate, can it? Is not that a logical conclusion?

Mr. TAFT. Yes; I think that is a logical conclusion.

FEDERAL RENT CONTROL—TELEGRAM TO GOVERNOR DEWEY BY SENATOR CAIN

Mr. CAIN. Mr. President, the junior Senator from Washington felt constrained yesterday afternoon to send a telegram to the Governor of New York State. I wish to read the telegram, which speaks rather plainly for itself, and to draw its substance to the thoughtful consideration of my colleagues. It reads as follows:

WASHINGTON, D. C., *January 10, 1950.*

GOV. THOMAS E. DEWEY,
Albany, N. Y.

DEAR GOVERNOR: The New York Times of Monday, January 9, carried a front-page story by its Albany correspondent, Leo Egan, in which it was stated that you and your advisers are considering the advisability of replacing the prevailing Federal rent law in the near future with a State rent-control system. It would not be proper for me to say that rent controls have outlived their usefulness in New York State because I am not familiar with the facts in your area of jurisdiction but I am qualified to venture a prediction that President Truman's request for an extension of the 1949 Rent Act beyond its termination date of June 30, 1950, will be denied by a majority of the Republicans and Democrats in the Congress. Those of us in the Congress who have considered the rent-control question since 1946 to be an economic rather than a political problem are now completely certain that we can defeat the proposed extension of the Federal law by using only the economic facts which have resulted in those scores of American communities of all sizes which have been decontrolled in the last year. Those for whom I speak will use every conceivable legitimate means including whatever time is required to prevent the Federal Government from any longer mismanaging and interfering with the property rights of American citizens throughout the Nation. It is unrealistic to assume that the Congress will authorize Federal rent controls for the beginning of our new half century. If there are isolated communities in America which can establish a proven need for continuing rent controls those communities or their parent States must be charged with a full responsibility for managing their own affairs. New York City may be an exception to the general rule that only good will result from the decontrol of rents. In practically every instance where a city of any size has been decontrolled the following benefits to the community have been in evidence: Restoration of the historic American right of free collective bargaining between tenant and owner, large numbers of locked-up rental units have been returned to the rental market, large numbers of homes previously held for sale only have become available to tenants, rental units have been released by tenants who have purchased homes, residential construction has been accelerated as have the sales of homes, and existing rental accommodations have become rapidly more attractive because the owners have remodeled, repaired, and redecorated their facilities. These are benefits which every State and community must desire. These are but some of the benefits which have come to decontrolled American communities and the case histories of the communities in question will be used by reasonable Members of both parties in the Congress to make certain that there will be no extension of the Federal rent law beyond June. In wiring you of my conviction that an end to Federal rent controls is certain I hope that I am rendering a constructive service to you and to every other State in the Nation. Those in the Congress who feel as I do want no State or community to say in coming months that they hadn't been informed that Federal rent controls would expire on the last day of June. When President Truman requested an extension of Federal rent controls as being necessary for another year he indicated to me at least that he knew distressingly little about the history of the problem, and continues to ignore and disregard the economic facts involved. I take it to be a foregone conclusion that Mr. Truman's own party in the Congress won't support the President's demand. The time is long overdue when New York State and every other State in the Union ought to be completely accountable to their citizens for the fundamental and important issues involved in the management of their private-property-rights question. I am certain that every State will attempt to rid itself of all rent controls everywhere at the earliest possible moment. If the Federal Government is permitted to extend rent controls into our new decade those restrictions against property rights will probably remain forever. Congress is possessed of too much common sense and sense of simple justice to permit this to happen. I would urge you and your legislature to do what it thinks is right for New York State without any further dead-hand control by the Federal Government. With cordial best wishes for your happiness and success in the new year.

HARRY P. CAIN,
United States Senator.

REPEAL OF OLEOMARGARINE TAXES

The Senate resumed the consideration of the bill (H. R. 3023) to regulate oleomargarine, to repeal certain taxes relating to oleomargarine, and for other purposes.

Mr. LANGER. Mr. President, I wish to address myself very briefly to the consideration of the bill H. R. 3023, to regulate oleomargarine, to repeal certain taxes relating to oleomargarine, and for other purposes.

At the Democratic Convention, which I was not privileged to attend, but to whose proceedings I listened over the radio, I remember very distinctly that about 2 o'clock in the morning President Truman, in the course of his address to the convention, stated that the farmers of the United States would be guilty of ingratitude if they did not vote for the Democratic ticket nominated at the convention. He went on to say that labor likewise would be guilty of ingratitude if it did not support the Democratic ticket. Apparently the farmers of the country took the President at his word.

I have before me the official returns of the election, showing that the dairy State of Colorado cast its six electoral votes for Mr. Truman for President of the United States, because the Democrats received a majority of the votes of the State of Colorado. As one reads through the list he finds Idaho, with 4 votes in the Truman column, Iowa with 10, Minnesota with 11, Montana with 4, Ohio with 26, Utah with 4, Washington with 8, Wisconsin with 12, and Wyoming with 3. It is simply a matter of arithmetic to conclude that if we total those electoral votes, deduct them from the 303 votes the President received, and add them to the 189 Governor Dewey received, the Republicans would have won by an electoral vote of 272 to 220.

Mr. President, before I go into the merits of the oleomargarine bill itself, I wish very briefly to address myself to the broken promise made by the Democratic Party, year after year, that they were going to enforce the Sherman Antitrust Act. During the course of the debate yesterday, the distinguished Senator from Arkansas [Mr. FULBRIGHT], as shown on page 261 of the RECORD, said:

Mr. President, I should like to quote it for the Senator's information at this time. It is not very long. I read from page 64 of the report of the Federal Trade Commission on the concentration of productive facilities, 1947. This is the statement of the Federal Trade Commission.

I am simply quoting what was said yesterday by the distinguished Senator from Arkansas. He proceeded to quote from the report of the Federal Trade Commission, as follows:

"The pattern of control in the processing and marketing of dairy products is rather similar to that of the meat-packing industry. Before World War I the dairy-products industry was made up of small local units, either independently owned or under cooperative control. The contrast between the past and the present state of concentration is perhaps more striking in this field than in any other manufacturing industry.

"As the concentration curve for the industry shows, the two leading dairy corporations, National Dairy Products Corp. and the Borden Co., clearly dominate the industry, holding 27.5 and 21.4 percent, respectively, of the industry's net capital assets."

There is nothing comparable to this in the field of margarine manufacture. That is my statement. I continue to read from the report of the Federal Trade Commission:

"Thereafter the slope of the curve becomes much more gradual, with the third firm, the Carnation Co., holding 6.9 percent and five other corporations, with assets ranging from 3 to 4 percent of the industry's total, owning an additional 18.5 percent. Thus the eight largest firms control 71.3 percent of the total net capital assets of all corporations operating primarily in this field.

"Even these figures, however, substantially understate the degree of concentration affecting the ultimate consumer. This understatement stems from two factors: (a) Within the broad industry groups, concentration is frequently higher for important individual products; and (b) many of these individual products are highly perishable and can only be shipped within a limited market area, a circumstance which frequently results in a higher degree of concentration in local markets than is true of the country as a whole."